

Detailed Demand and Supply Study Guide

Introduction

Economics studies how scarce resources are allocated. Demand and supply are the core forces that determine prices and quantities in markets.

Meaning of Demand

Demand refers to the quantity of a product consumers are willing and able to buy at different prices over a given period.

Law of Demand

Other things being equal, higher prices reduce quantity demanded while lower prices increase quantity demanded because of the substitution and income effects.

Demand Schedule

A demand schedule is a table showing quantities demanded at different prices. A demand curve is its graphical representation and slopes downward.

Determinants of Demand

Income, tastes, prices of substitutes and complements, consumer expectations, advertising, season, and population all influence demand.

Meaning of Supply

Supply is the quantity producers are willing and able to sell at different prices during a given period.

Law of Supply

As prices rise, producers are encouraged to increase production because higher prices usually increase potential profit.

Supply Schedule

A supply schedule lists quantities supplied at different prices. The supply curve generally slopes upward.

Determinants of Supply

Technology, production costs, taxes, subsidies, weather, expectations, and number of producers affect supply.

Market Equilibrium

Equilibrium is reached where quantity demanded equals quantity supplied. There is no shortage or surplus at this point.

Shortage and Surplus

A shortage occurs when demand exceeds supply. A surplus occurs when supply exceeds demand, causing prices to adjust.

Government Policies

Price ceilings, price floors, taxes, and subsidies influence market outcomes and can create shortages or surpluses.

Elasticity

Price elasticity of demand and supply measures responsiveness to price changes and helps businesses make pricing decisions.

Applications

Businesses use demand forecasts to plan production. Governments use supply and demand analysis when designing economic policies.

Exam Tips

Define terms accurately, draw neat labelled graphs, explain shifts clearly, and support answers with relevant examples.

Summary

Demand and supply interact continuously to allocate resources efficiently and determine market prices.